

Cloud Migration Market Size – IT Services

Context: Indian enterprises across sectors (BFSI, retail, manufacturing) are increasingly migrating their on-premise IT infrastructure to the cloud.

Estimate the annual market size (in USD) of the cloud migration services industry in India. Break down your assumptions by company size, sector adoption rate, and average deal value.

First, let us consider the number of enterprises in India across BFSI, retail, and manufacturing that are relevant for cloud migration services. Assume there are around 5,000 large enterprises, 50,000 mid-sized enterprises, and 200,000 small enterprises. That gives a total base of about 255,000 companies.

Now assume that only a fraction of these companies will undertake cloud migration in a given year. Since BFSI, retail, and manufacturing are actively digitizing, a reasonable blended annual migration rate would be about 9 percent. That means around 23,000 companies migrate to the cloud each year.

The deal size depends on company size. Assume a large enterprise migration project is worth about USD 500,000, a mid-sized company project is worth about USD 100,000, and a small company project is worth about USD 20,000.

Using this, the annual market can be estimated as follows:

Large enterprises: $5,000 \times 15 \text{ percent} \times \text{USD } 500,000 = \text{USD } 375 \text{ million}$.

Mid-sized enterprises: $50,000 \times 10 \text{ percent} \times \text{USD } 100,000 = \text{USD } 500 \text{ million}$.

Small enterprises: $200,000 \times 8.6 \text{ percent} \times \text{USD } 20,000 = \text{USD } 344 \text{ million}$.

Adding these, the base migration market comes to about USD 1.2 billion.

However, cloud migration projects often include adjacent services such as architecture redesign, security setup, data migration, and post-migration support. If these increase project value meaningfully, the market can reasonably be estimated at around **USD 2 to 2.8 billion annually**.

So, a good final guesstimate is that the annual cloud migration services market in India is about **USD 2.5 billion**, with a reasonable range of USD 2 to 2.8 billion.